



DALAL & BROACHA
STOCK BROKING PVT. LTD.

Analyst: Kunal Bhatia (022) 67141442

Associate: Suraj Nandu (022) 67141438

Re- initiating coverage @ Dalal & Broacha

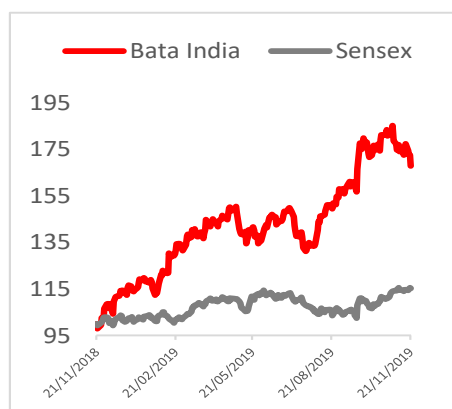
Buy on Dips

Current Price	1638
52 Week Range	944/1815
Target Price	1849
Upside	13%

Key Share Data

Market Cap (Rs.bn)	210.56
Market Cap (US\$ mn)	2965.63
No of o/s shares (mn)	128.52
Face Value	5
Monthly Avg.	
vol(BSE+NSE) Nos'000	634.80
BSE Code	500043
NSE Code	BATAINDIA
Bloomberg	BATA IN

Price performance



% Shareholding	Sep-19	Jun-19
Promoters	52.96	52.96
Institutions	32.95	32.72
Others	14.09	14.32
Total	100.0	100.0

Bata India largest contributor to Bata Global; India remains key focus; potential to become a \$1bn company: Over the years Bata India has become one of the largest contributor to Global Sales at ~15 to 16%. It remains one of the fastest growing company within the global parent's portfolio with potential to reach \$1bn in few years. At INR 29bn revenue in FY19, it has achieved 41% of the target.

India has always been an attractive opportunity to set up shop and conduct business for big Multinationals. We observe that on revenue front Bata India at ~Rs. 29.3bn, doesn't even come close to the MNC peers. Footwear production is only 2nd to China at 2.2bn pairs annually however the per capita footwear consumption is only 1.7 pairs as compared to the global average of 3 pairs and as such believe \$1bn mark is a possibility.

Premiumization led growth to continue: Bata's revenue growth over the past 5 years has been 7.3% CAGR, however realization has risen by 8.3% CAGR. Change in lifestyle, preferences and growing need for health and fitness awareness amongst urban Indians can lead to rise in fitness footwear. Products like apparel, accessories and variety of fitness equipment is now a top priority in shopping lists, which can further boost pace of revenue growth.

Cash-Rich with strong financials: Bata is a debt free company with cash on books equivalent to 48% of Net-worth as of FY19 and ~4% of its market capitalisation. Going forward free cash-flows are expected to remain strong and any monetization of Faridabad 11 acre land will further add to cash-flows.

Advertisement budget doubled from 1% of revenues in FY17 to 2.3%. Campaign for image makeover with influential personalities to target millennials : 'Surprisingly Bata' with actress Kriti Sanon , 'Chalo India Now Power Walk' with cricketer Smriti Mandhana and the new men's Casual Collection campaign with actor Sushant Singh Rajput have contributed significantly to brand recall and affinity. The brand is now getting more "COOL" to target 20-25 year olds.

Spinning off some important brands with intention to allow each to create its own life: Brand-wise Bata now has 3 power stores (already witnessed double digit growth), 3 bubblegummers, 2 Bata women stores and 50 Red carpet stores (gives international shopping experience)

E-Commerce, a platform for faster penetration: E-commerce for Bata has been growing at a CAGR of 49.4% over FY16 in value terms and 58% in volume terms, contributing 4% to revenues currently. This platform has enabled the company to reach 1000+ cities as against its physical presence of 500 cities.

On-ground Survey: Our on-ground check in Bata stores in multiple cities and interaction with large distributors, we found everyone in harmony towards the positive changes from the top-management. These include faster product refreshes, better in-store experience, good inventory management and impactful campaigning.

Going forward: Bata's efforts in making its brands more premium and relevant to the customers has bode well for the company but the full extent of benefits has yet to accrue. This coupled with efforts taken for image re-transformation ("the new cool youth brand") through newer and better designed products at faster pace, introduction of international brands in India and store renovations for better in store experience, opening exclusive brand stores (Red, Power and Bubblegummers) will enhance the Bata brand and in culmination become the **new BATA**.

Valuation At CMP of Rs 1638 the stock trades at 53.7x FY20e EPS of Rs 30.5 and 45.5x FY21e EPS of Rs 36.02. As seen in the above chart the stock on a one year forward PE is already trading at 51x. We value the company at 51x FY21e EPS of Rs 36.02 and arrive at a target price of Rs. 1849 i.e. an upside of 13%. **We Re-initiate coverage on BATA and recommend investors to BUY ON DIPS.**

FINANCIALS

Year	Net Sales	%growth	EBIDTA	OPM%	PAT	%growth	EPS	PE(x)	RoE%	RoCE%
FY18	26,341.7	6.5	3,513.6	13.3%	2,205.1	27.5	17.2	95.5	15.0	19.7
FY19	29,311.0	11.3	4,770.6	16.3%	3,289.9	49.2	25.6	64.0	18.9	23.7
FY20E	32,520.0	10.9	5,338.5	16.4%	3,920.5	19.2	30.5	53.7	19.3	22.6
FY21E	36,729.9	12.9	6,264.5	17.1%	4,629.6	18.1	36.0	45.5	19.4	22.8
FY22E	41,519.7	13.0	7,276.9	17.5%	5,483.7	18.4	42.7	38.4	19.4	22.5

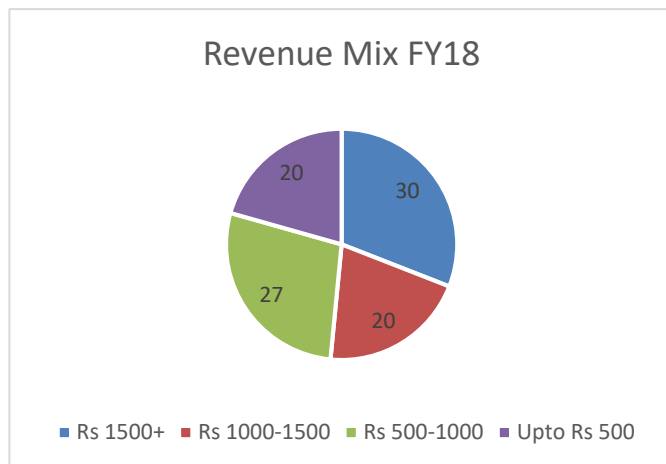


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BACKGROUND

Business



- Bata India Limited is primarily engaged in the business of manufacturing and trading of footwear and accessories through its retail and wholesale network.
- As of FY19 wholesale was ~10% of revenues and Retail was ~90%
- Men: Women: Kids stands at 55:30:15

Brands in Bata

Hushpuppies (contributes ~13% in value terms): Entered India 20 years ago and has been increasing market share on a YoY basis. Product mix varies from dress to casual, from closed to open footwear in both Men & Women with a strong presence in Hand Bags, Socks, and Accessories. As per FY19 the brand had 90 stores, with plans to cross 100 stores in FY20.

Power (~10% of revenues): This brand has been witnessing double digit growth plus introduction of new styles (such as power walking collection with memory foam, Glidesteam and Airwalk) and exclusive store opening is the way forward.

Bubble –Gummers: Kids footwear has emerged as one of the fastest growing categories and its shares in revenue has been on an increasing trend. In-order to grab this opportunity the management has spun-off this brand and opened 3 exclusive concept stores till date.

Other brands include: Naturalizer, Ambassador, Weinbrenner, Marie Claire, North-Star and Scholl
Plants: 4 (capacity of 21mn footwear pairs annually) with 50% in house and 50% outsourced.

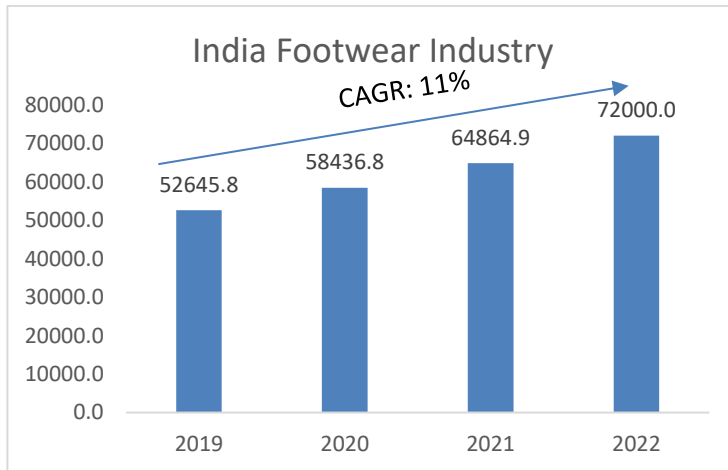


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INDUSTRY

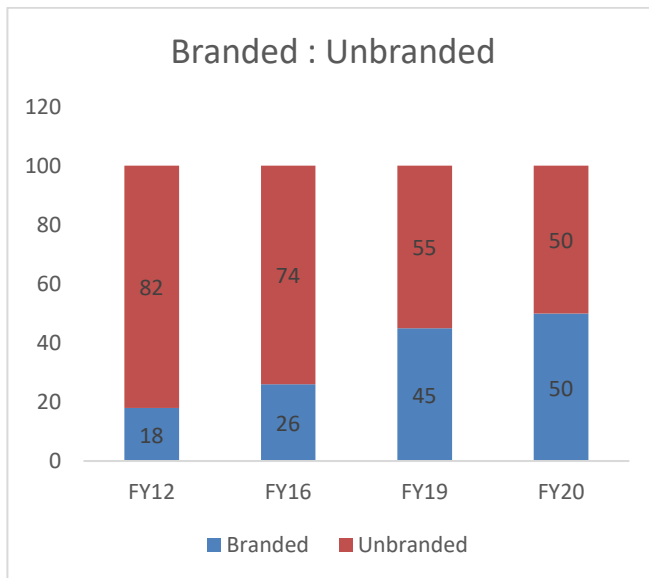
Indian Footwear market:



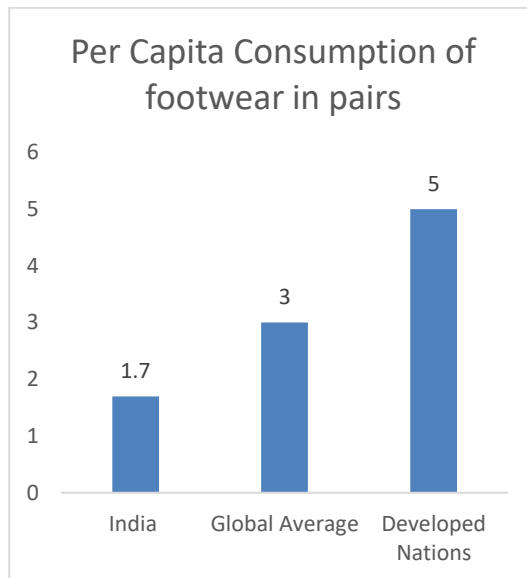
(Source: Bata Annual Report)

The Indian footwear industry is expected to grow at a CAGR of 11% over 2022 to 720bn. In terms of production India is the 2nd largest producer after China at ~2.2bn (i.e. 9.6% of total output) pairs per annum and 80% of this production is used domestically.

Branded growing faster: An Opportunity:



Source: Khadim RHP, Bata Annual Report 17



The branded footwear market in India is expected to grow at a faster pace. Studies show that footwear demonstrates highest receptivity to modern retail with 26% share of channel sales attributed by modern retail. In case of other key lifestyle categories i.e. apparel, jewellery and watches, modern retail channel averages ~22% share of total pie.

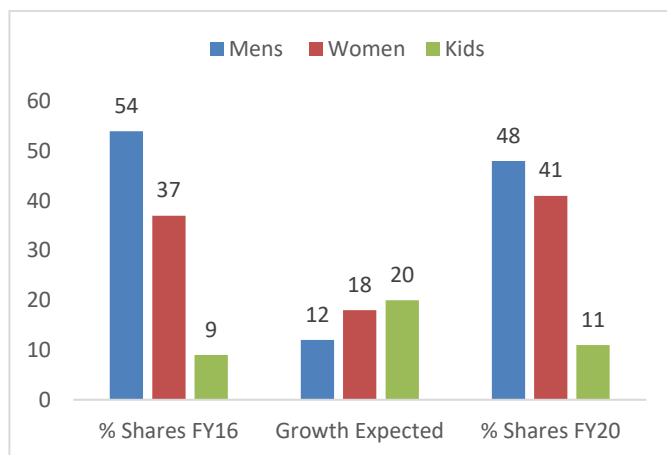


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Low Per capita consumption: India is 44% below global average, indicating a massive headroom for growth. Several factors such as increase in disposable income, better availability of product and growing fitness awareness & health consciousness supported by higher penetration of existing brands in tier 3 & 4 towns and expanding presence of international brands in India will lead to higher push for branded footwear. **Bata with its strong network reach and size is well placed to grab this opportunity.**

Breaking the oxymoron of women (faster growing segment) that they can either be stylish or comfortable. Comfort with Style at a reasonable price is the strategy going forward. Brands such as Naturalizer and Insolia are introduced with that intention. Women-shoes currently contribute ~30% of revenue and have potential to grow faster than Men's.



(Source: Khadim RHP Technopark report)

As seen in the chart, women footwear category is expected to grow 1.5x faster than the men's category. Growth rate of the women footwear segment has been significantly higher than that of the men's segment in the past few years and it expects women segment to grow by ~18% CAGR over FY16-FY20. Moreover a large part of the unorganized footwear category is dominated by women footwear. So a shift from unorganized to organized will be higher in Women footwear category.

Bata leader in physical store presence; a clear competitive advantage:



(Source: Dalal & Broacha Research and various company websites)

- Bata has the highest number of stores Pan-India. The brand has ensured penetration into metro cities, tier I-II cities and also into tier III and IV with additional franchisees.
- **Strength:** With 1455 stores across India, Bata has the largest retail footprint in footwear with products for age-group of 3 to 70 years from casual to sports footwear and accessories.
- **Store opening target remains intact, transformed retail formats to more life-style oriented ones:** in H1FY20 the company had net addition of 40 stores and plans to open ~70 for FY20. Target in terms of franchise remains at ~50 stores. The company has omni-channel presence at 400+ stores.



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Bata v/s competitors; Premiumization led growth v/s volume led growth:

Bata India Ltd	CY13	FY15(15M)	FY16	FY17	FY18	FY19
Revenue (Rs. Mn)- including accessories	20652	26940	24227	26342	29311	32520
Pairs Sold (Mn)	50.0	62.5	50.0	47.0	47.0	47.25
Realisation (Rs.)	391	406	455	495	527	583
Store Network	1400	1400	1265	1293	1375	1415
EBITDA Margin	15.6%	12.4%	11.4%	11.3%	13.3%	16.3%
ROE	24%	20%	12.0%	13.1%	15.0%	18.9%
ROCE	31%	25%	16.0%	16.0%	19.7%	23.7%
ROCE (excluding Cash)	45%	32%	22.0%	27.0%	33.0%	46.0%

Relaxo Footwear	FY13	FY14	FY15	FY16	FY17	FY18	FY19
Revenue (Rs. Mn)	10098	12123	14810	17120	16520	19490	22920
Pairs Sold (Mn)	100.00	108.00	123.00	136.00	135.00	157.00	184.00
Realisation (Rs.)	101	112	120	126	122	124	125
Store Network	168	184	212	250	270	302	370
EBITDA Margin	10.5%	12.3%	13.6%	14.0%	14.0%	15.5%	14.1%
ROE	21%	24%	32.0%	28.4%	22.1%	23.6%	18.8%
ROCE	22%	26%	31.7%	31.8%	27.2%	31.0%	26.4%

Khadim India	FY13	FY14	FY15	FY16	FY17	FY18	FY19
Revenue (Rs. Mn)	NA	NA	4602	5345	6106	7487	7992
Pairs Sold (Mn)	NA	NA	16.9	21.7	26.9	34.4	38.2
Realisation (Rs.)	NA	NA	272	246	227	218	209
Store Network	NA	NA	545	612	673	753	799
EBITDA Margin	NA	NA	3.0%	9.8%	10.6%	10.1%	7.1%
ROE	NA	NA	-14.0%	16.0%	17.0%	14.0%	16.0%
ROCE	NA	NA	0.0%	15.0%	18.0%	20.0%	20.0%

Particulars	FY15	FY16	FY17	FY18	FY19
Difference between Bata and Khadim's revenue/pair	33%	46%	54%	59%	64%
Difference between Bata and Relaxo's revenue/pair	70%	72%	75%	76%	79%

From the above tables, it is observed that Bata's revenue CAGR (FY15-19) is 10.8%, aided by comparatively higher growth of 15.8% CAGR in realizations whereas Khadim's revenue and realizations CAGR (FY15-19) stood at 14.8% and -6.4%; Relaxo footwear's at 11.5% and 0.9% respectively. Comparatively the higher revenue growth is volume led with Khadim's volume in terms of number of pairs sold annually increasing at 22.6% CAGR (FY15-19) and Relaxo footwears' volumes growing at 10.6% CAGR (FY15-19).

Khadim and Relaxo's higher revenue growth is volume led. Khadim and Relaxo's volume CAGR (FY15-19) stood at 22.6% and 10.6% respectively. As observed, Bata's realizations is 64% higher than Khadim's and 79% higher than Relaxo Footwears' in FY19. Optically the difference in realizations of Bata and others seem large because of different product offerings such as Relaxo offers more varieties in Slippers & Sandals and Khadim has a mix of products.



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Despite the different product offerings, it is to be noted that Bata's realization CAGR of 9.5% is far higher than competitors and essentially it indicates the likeness of the brands and products Bata is offering. We believe this Premiumization led growth will continue seeing the fruitful efforts made by the company to be more "COOL", "Fashionable" and more youth oriented. It is also noted that earlier peak EBITDA margins of Bata was 15.6% in CY13 has been comfortably crossed in FY19 at 16.3% and has sustained in H1FY20 as well.

Survey Report

Our on-ground check in Bata stores in multiple cities and interaction with large distributors, we found that everyone was in harmony towards the positive changes made by the top-management. These include faster product re-freshes, better in-store experience, good inventory management and impactful campaigning.

Men's footwear still has a dominant contribution to store-revenues at ~50%. Premium product share in men's footwear is higher than women and kids because of Hush-Puppies. Acceptability of premium products is comparatively much higher, however product re-fresh is much slower compared to women's footwear (2-3 months v/s 15days).

Women's footwear growth has been picking up supported by faster and newly designed products. The wallet share is still lower on account of more choices at similar price-ranges from the un-organized market. International brand products such as Insolia and Naturalizer that concentrate on comfort with style are picking up pace with media awareness, fitness and health consciousness.

Impact of new-ad campaign is evident from the rise in footfalls of 25-35 year old in-stores especially in metros. One important observation in ASP per youth is lower as they buy more trendy and low price products of Power and North Star however the churn is higher.

In-store experience, with introduction of Red-store, standalone Power, Bubblegummers among other brands has definitely created buzz as visibility of more styles and products are offered leading to higher relevant footfalls and conversion.

Inventory management has improved significantly post the FY15 issue, now it is invoice system driven and replacement request are raised automatically with replacement time of 3 days post invoice.

New product introduction testing is implemented with top-50 to 100 stores initially, and depending on the response it is tested in the next top-200 stores, post which it is taken to all stores. Evaluation of new-products takes place within 10-12 weeks and a maximum of 6 months is given to any-product before it goes in-discount.

Margins of international brands such as Hush-puppies, Insolia and Marie Claire are higher as against own Bata-brand. Growth in international brands is higher v/s Bata-own-brands.

Online players are major competitors to Bata as they offer higher discount. No new arrivals in-stores are sold online at-least for the first 6 months of launch.

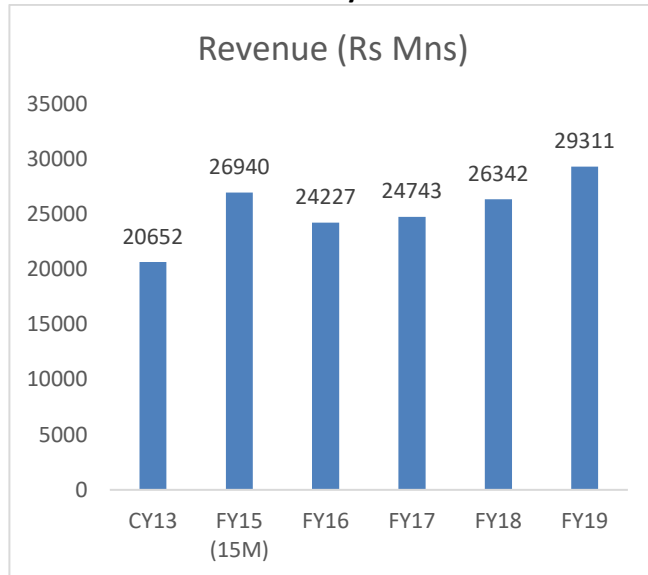


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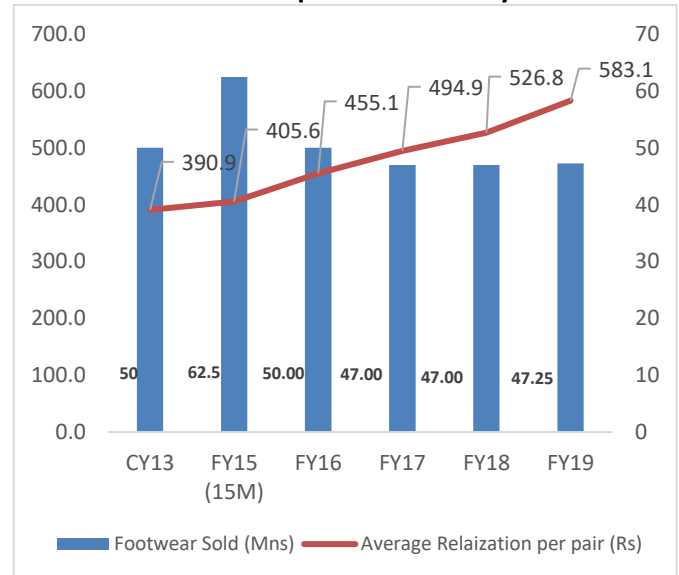
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FINANCIALS

Revenue CAGR of 7.3% in 5 years



However realization improved 1.5x in 5 years



(Source: Bata Annual reports)

As seen above Bata's realization over the past 5 years has been on a continuous rise. Between CY13 to FY19 realizations have been growing at a CAGR of 8.3%.

Our recent interaction with the management and Bata stores suggest that premium products now contribute close to 50% of revenues. Product innovation across categories like leather, rubber and canvas has led to this improvement.

In conclusion from the above 2 charts it is evident that growth is mainly led by premiumization and this trend is expected to continue over the next few years as the aspiration of the Indian population is on the rise.

Premium collection for Bata includes Hush Puppies, Naturalizer, European Collection, Power, International range and North Star. Bata has also entered collections of casual, daily wear, sports and outdoor categories for the 10-14 year age group.

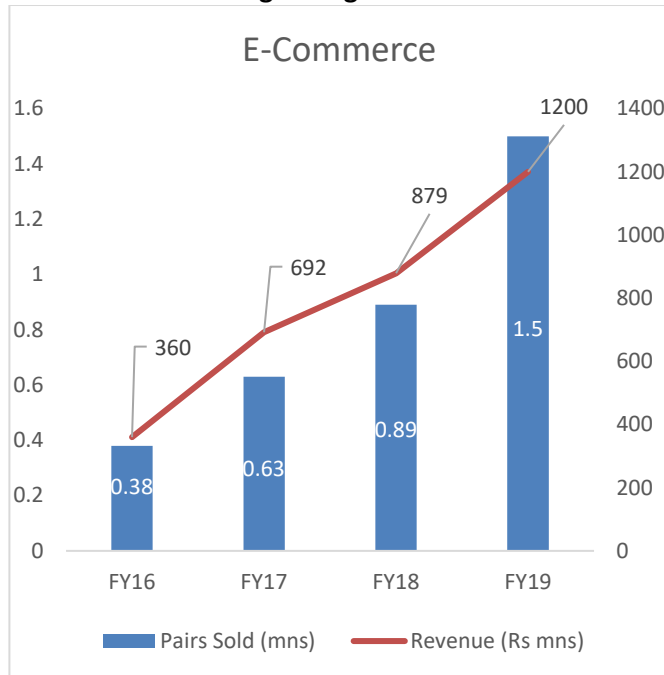
On one hand premium products enhance the brand further to better connect with the spending millennial class, while on the other hand it leads to higher gross margins and thereby pushing the overall margins higher.



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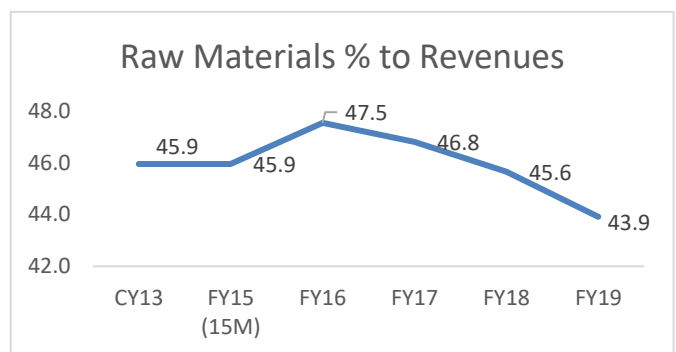
E-Commerce fastest growing channel



E-commerce for Bata has been growing at a CAGR of 49.4% over FY16 in value terms and 58% in volume terms. It now contributes 4.1% of revenues as against 1.5% in FY16. A major benefit that E-commerce gives to the company is penetration in 1000+ cities where Bata stores are not present physically. The company's strategy is to have a separate line of products for online-business to avoid the issue of cannibalization and discounting. 90% of sales are influenced by the internet these days, Bata's focus is to use the internet to influence purchase behavior through app's and various other online platforms.

In case of raw material, premiumization supported by better supply chain management has aided gross margins expansion, if we have a closer look at the H1FY20 data, trade-payable days have reduced, which indicates that the company has been taking advantage of cash-discounts offered by suppliers for early payments.

Gross Margins rising continuously; H1FY20 on YOY basis has also improved by 160bps

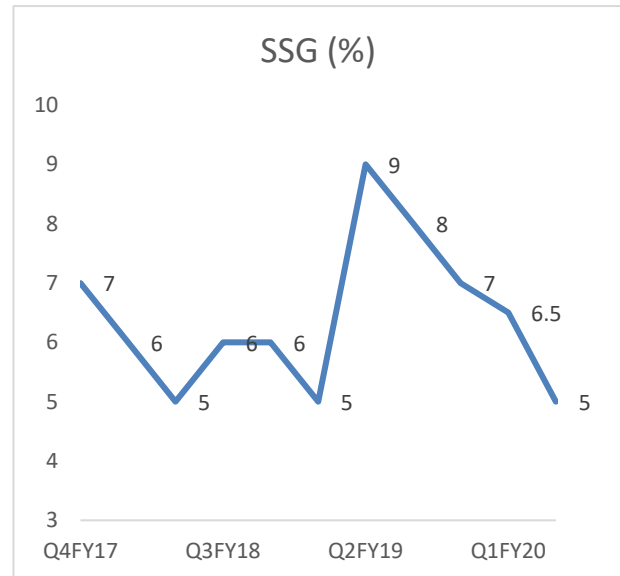
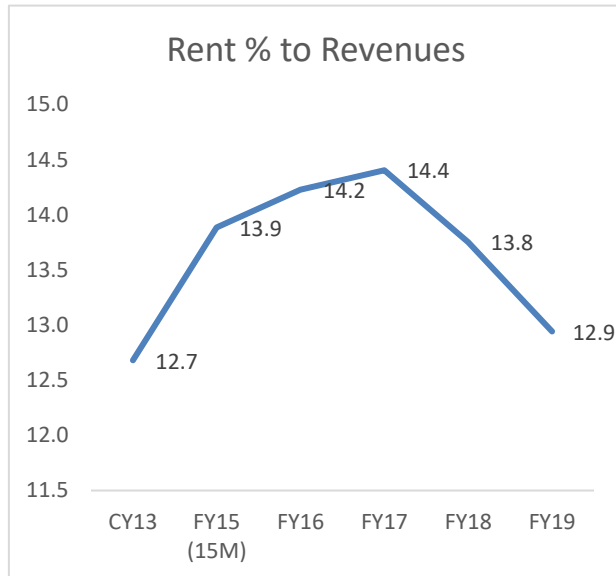




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Rent steadily reducing; re-negotiation and optimization of space is key: in FY19, company opened 71 new stores, closed 28 stores and reallocated 14 stores

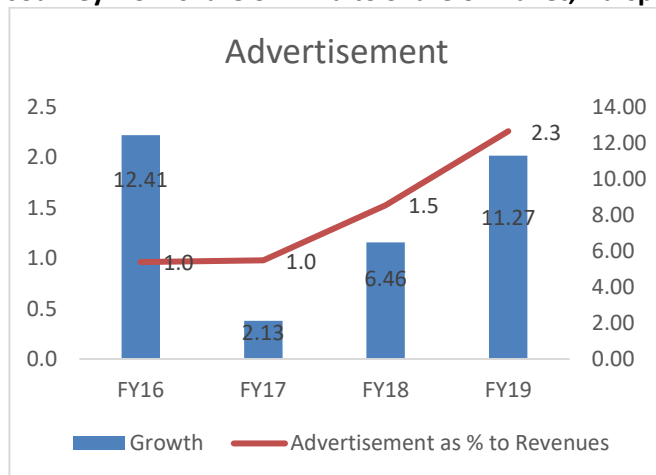


(Source: Annual report and Dalal & Broacha)

Management on a regular basis re-negotiates its rental contracts with existing landlords and optimize its retail spaces. The unrequired space in some large format stores is surrendered to landlords thus reducing the rent outgo. This is the primary reason for rent as percent to revenues to reduce.

Overall store space has gone up from 2.62mn sq.ft. in FY17 to 3.07mn in FY19 i.e. CAGR of 8.2%.

Journey from share of mind to Share of wallet; Ad-spends double:



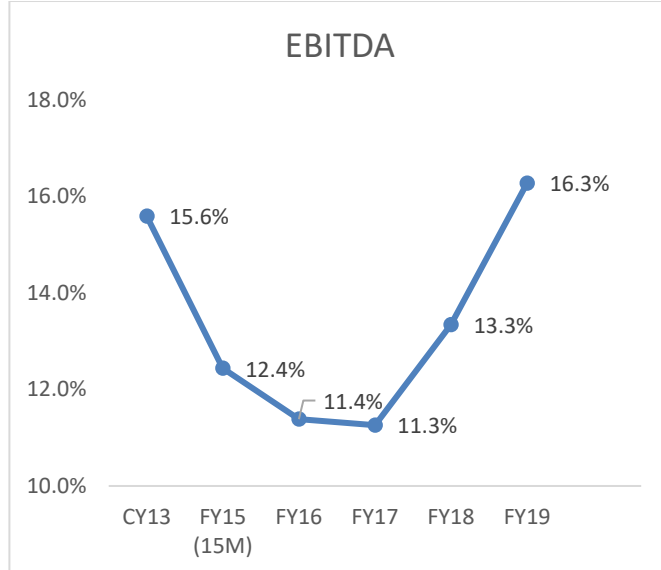
As observed, advertisement spends have doubled over FY17 to FY19 which led revenue growth to rise from 2% in FY17 to 11% in FY19. We expect advertisement spends to remain elevated going forward.



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EBIDTA Margins continue to show an improving trend



(Source: Dalal & Broacha research)

- **Bata's EBITDA margins** peaked at 15.6% in CY13, post which the company tried to change the inventory tracking system from traditional basis to SAP module, the changeover had problems, resulting in higher inventory pile up and lower sales. However post rectification, efforts made for better products, cost efficiencies, rent rationalization and scale benefits have led to improvement in margins. Going forward we expect this trend to continue as premiumization is a continuous process.
- **Bata's EBITDA CAGR in the last 5 years (from CY13) period is 14%** as against revenue CAGR of 12.4%

Bata is a **debt free company** and interest outgo is towards minimum working capital borrowings.

Free Cash-flows: Bata generated free cash-flow of 3113.6mn in FY19. This has grown at a CAGR of 14.4% over CY13 and going forward we expect it to grow at a CAGR of 13% between FY19 to FY22e.

Low Capex requirement & high Asset -turn: Bata has strong asset-turn of 5.5x. Company with a production capacity of 21mn pairs in-house manufactures 50% of its requirement. Capex is generally towards retail expansion of 70-80 stores on an annual basis which is approximately Rs 800 to 850mn met via internal accruals. At this point in-time the company has no-intention to expand capacities and in-fact closed down a unit in Faridabad in FY17 spread over 11 acres.

Strong balance sheet '0' Debt and with Cash and Bank at 48% of net-worth:

Bata has a very strong balance sheet with Rs 8403mn in cash i.e. 48% of net worth, going forward with no major capex requirement the cash-on-books is expected to remain healthy.

In-terms of ratios Bata's FY19 ROE and ROCE stands at 18.9% and 24% respectively and is expected to remain in similar range going forward.

PAT: has been growing at a CAGR of 18.5% over the past 5 years aided by margin improvement as well as 29% CAGR in other income earned on higher cash on balance sheet.



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Thomas Bata targets \$1 billion mark for Bata India, is it achievable?

Adidas- Germany					
Particulars (EURO Bn)	2015	2016	2017	2018	CAGR (15-18)
Revenue	16.92	19.29	21.22	21.92	9.0%
GPM	48.3%	48.6%	50.4%	51.9%	
EBITDA Margin	9.0%	9.7%	12.0%	13.0%	
PAT Margin	4.4%	5.2%	6.7%	7.7%	

Nike U.S					
Particulars (\$ Bn)	2015	2016	2017	2018	CAGR (15-18)
Revenue	32.38	34.35	36.40	39.12	6.5%
GPM	46.2%	44.6%	43.8%	44.7%	
EBITDA Margin	15.9%	15.9%	14.3%	14.0%	
PAT Margin	11.6%	12.3%	10.8%	10.3%	

Sketchers- U.S						
Particulars (USD Bn)	2015	2016	2017	2018	CAGR (15-18)	LTM
Revenue	3.15	3.56	4.16	4.64	13.8%	4970.10
GPM	45.2%	45.9%	46.6%	47.9%		47.7%
EBITDA Margin	13.0%	12.3%	11.1%	11.6%		16.0%
PAT Margin	7.5%	6.8%	6.7%	6.5%		6.7%

Asics Corp- Japan					
Particulars (JPY Bn)	2015	2016	2017	2018	CAGR (15-18)
Revenue	428.50	399.10	400.10	386.70	-3.4%
GPM	42.5%	44.2%	45.8%	46.7%	
EBITDA Margin	8.4%	8.8%	7.6%	5.6%	
PAT Margin	2.4%	4.1%	3.4%	-0.1%	

India has always been an attractive opportunity to set up shop and conduct business for big Multinationals. Known names such as Nike, Adidas, Reebok, and Puma have conducted operations for more than 2-3 decades at least whilst there are new entrants such as Asics and Sketchers who have started operations in the recent 5-7 years. The above tables represent financials of the respective companies at a global level. We observe that on revenue front Bata India at ~Rs. 29.3bn, doesn't even come close to their numbers. There is massive opportunity in India which in terms of footwear production is only 2nd to China at 2.2bn pairs annually. The per capita footwear consumption is only 1.7 pairs as compared to the global average of 3 pairs.

Currently in India, in terms of exclusive store count, Nike has 150, Adidas has 450, Reebok has 250 stores, Puma has 365 and Sketchers has 231 stores whereas Power (Bata's sports brand) has 3 stores but the brand's products are also found at most of Bata's other 1412 stores across India. We believe there is massive opportunity for each brand under Bata to grow and even if India reaches close to global average, benefit to Bata is immense seeing its superior store network and brand image. We believe Bata India can achieve the \$1bn mark and despite this, it will only be one third of the smallest player i.e. Asics (revenue in \$ terms at 3.56bn, exchange rate 1JPY= \$0.0092) and with support of favorable macros, the company can grow Multi-fold in terms of size.



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GOING FORWARD

We expect on a conservative basis Bata's revenue to grow at a CAGR of 13% over FY19 to FY22e supported by higher realizations, continuous introduction of newer designs and new products.

The company via its re-engineered in-store experience and trained stylist hired in top stores to serve customers is aiming to achieve 15% CAGR and reach the \$1bn mark at the earliest.

EBIDTA CAGR (FY19-FY22e) expected is 15% on account of better realization, lower rentals as percentage to revenue and cost efficiencies. EBIDTA margins are expected to improve from 16.3% in FY19 to 17.5% in FY22e.

PAT CAGR is higher at 19% aided by the new tax regime of lower taxes.

Outlook and Valuations

We believe in India the scope for all organized footwear players in-general is immense, consumption per capita at 57% of global average in a country that manufactures ~10% of global footwear is too low. Bata overtakes its Indian peers in-terms of physical retail touch points and premiumization. In case of women and kids where un-organized is still dominant the opportunity to grow is huge.

Valuations:

Particulars				EPS			P/E		
Company Name	CMP	No.of Shares	M.Cap (Rs.Mns)	FY19	FY20	FY21	FY19	FY20	FY21
Avenue Supermarts	1819	624.08	1135210	14.46	21.35	27.75	125.80	85.20	65.55
Titan	1145	887.79	1016515	15.82	19.13	23.97	72.38	59.85	47.77
Relaxo Footwears	571	248.10	141666	7.08	9.67	12.05	80.65	59.05	47.39
ABFRL	210	773.63	162462	4.15	1.60	4.00	50.60	131.25	52.50
Trent	491	355.49	174544	2.90	5.30	8.90	169.31	92.64	55.17
Page Industries	22151	11.15	247069	353.18	411.68	487.01	62.72	53.81	45.48
Bata	1638	128.53	210528	25.60	30.50	36.02	63.99	53.70	45.47
Average							89.3	76.5	51.3

Target Price Calculation	Multiple	Target Price	Price	Comment
Target Price Using PE Multiple	51	1849.1	1849	Average PE of peers for FY21 is 51.3x
Target Price			1849	

Bata with its strong cash-rich balance sheet with zero debt and free cash flow CAGR of 13% definitely commands a premium valuation.

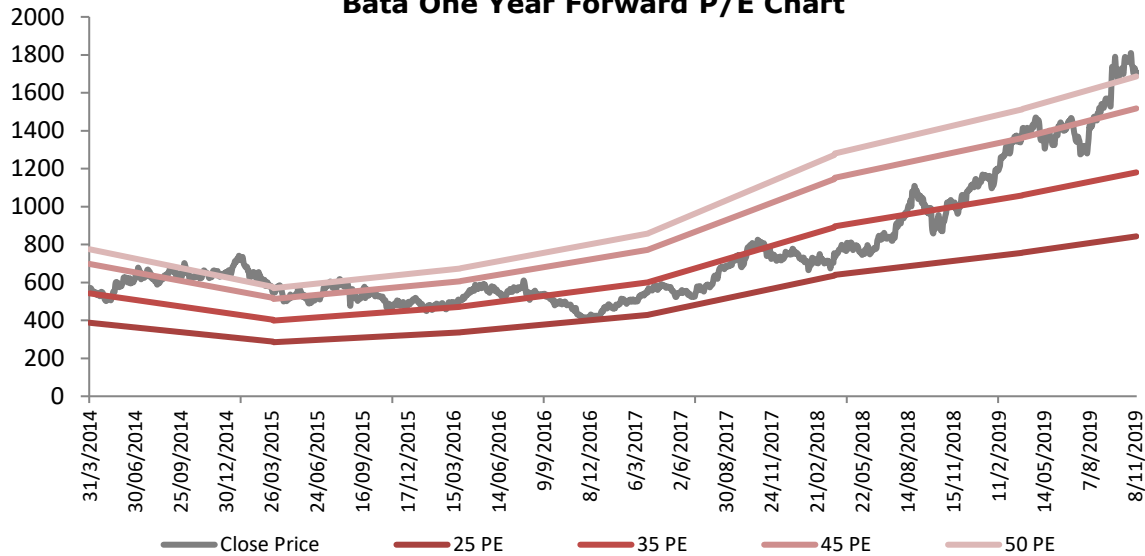
The company's ROE and ROCE (excluding cash on books) stood at 19% and 46% in FY19 is expected to reach 19% and 53% respectively by FY22.



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Bata One Year Forward P/E Chart



At CMP of Rs 1638 the stock trades at 53.7x FY20e EPS of Rs 30.5 and 45.47x FY21e EPS of Rs 36.02. As seen in the above chart the stock on a one year forward PE is already trading at 51x. We value the company at 51x FY21e EPS of Rs 36.02 and arrive at a target price of Rs. 1849 i.e. an upside of 13%. **We Re-initiate coverage on BATA and recommend investors to BUY ON DIPS.**



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Bata India Ltd

P&L (Rs mn)	FY18	FY19	FY20E	FY21E	FY22E	Cash Flow St. (Rs. mn)	FY18	FY19	FY20E	FY21E	FY22E
Net Operating Income	26,341.7	29,311.0	32,520.0	36,729.9	41,519.7	Net Profit	2,205.1	3,289.9	3,920.5	4,629.6	5,483.7
						Add: Dep. & Amort.	604.5	640.5	736.1	831.8	927.4
						Cash profits	2,809.7	3,930.4	4,656.6	5,461.4	6,411.1
Raw Materials	(12,024.0)	(12,871.1)	(14,276.3)	(16,124.4)	(18,227.1)	(Inc)/Dec in					
Employee Cost	(2,956.1)	(3,310.8)	(12,905.2)	(14,340.9)	(16,015.6)	-Sundry debtors	(199.4)	230.0	(227.5)	(115.3)	(131.2)
Other Expenses	(7,848.0)	(8,358.5)	(27,181.5)	(30,465.4)	(34,242.7)	-Inventories	(513.8)	(742.0)	(872.3)	(1,199.5)	(1,364.8)
Total Expenses	(22,828.1)	(24,540.4)				-Loans/advances	(41.1)	(104.6)	(88.6)	(116.5)	(128.4)
Operating Profit	3,513.6	4,770.6	5,338.5	6,264.5	7,276.9	-Current Assets	(580.0)	76.8	(22.0)	(181.2)	(199.3)
Depreciation	(604.5)	(640.5)	(736.1)	(831.8)	(927.4)	-Sundry creditors	711.1	324.9	176.1	820.3	933.3
PBIT	2,909.1	4,130.1	4,602.4	5,432.8	6,349.5	-Others	(32.1)	330.3	(298.0)	72.0	78.1
Other income	503.3	682.2	672.2	789.6	1,014.1	Change in working capital	(655.2)	115.5	(1,332.3)	(720.2)	(812.4)
Interest	(42.0)	(35.5)	(35.5)	(35.5)	(35.5)	CF from Oper. activities	2,154.5	4,045.9	3,324.3	4,741.2	5,598.7
Extraordinary Items	-	-	-	-	-	CF from Inv. activities	(712.1)	(892.6)	(850.9)	(850.0)	(850.0)
Profit before tax	3,370.4	4,776.9	5,239.2	6,186.9	7,328.2	CF from Fin. activities	(750.8)	(662.1)	(1,007.1)	(1,084.6)	(1,162.0)
Provision for tax	(1,165.3)	(1,486.9)	(1,318.7)	(1,557.2)	(1,844.5)	Cash generated/(utilised)	691.6	2,491.2	1,466.4	2,806.6	3,586.6
Reported PAT	2,205.1	3,289.9	3,920.5	4,629.6	5,483.7	Cash at start of the year	5,220.3	5,911.9	8,403.1	9,869.5	12,676.1
Extraordinary Items	-	-	-	-	-	Cash at end of the year	5,911.9	8,403.1	9,869.5	12,676.1	16,262.7
Minority Interest	0.0	0.0	0.0	0.0	0.0		-	-	-	-	-
Adjusted PAT	2,205.1	3,289.9	3,920.5	4,629.6	5,483.7						
Balance Sheet	FY18	FY19	FY20E	FY21E	FY22E	Ratios	FY18	FY19	FY20E	FY21E	FY22E
Equity capital	642.6	642.6	642.6	642.6	642.6	OPM	13.3	16.3	16.4	17.1	17.5
Reserves	14,104.3	16,775.8	19,689.2	23,234.2	27,555.9	NPM	8.2	11.0	11.8	12.3	12.9
Net worth	14,746.9	17,418.4	20,331.8	23,876.8	28,198.5	Tax rate	(34.6)	(31.1)	(25.2)	(25.2)	(25.2)
Def. Tax Liab.+Minority Int.	-	-	-	-	-	Growth Ratios (%)					
Longterm Debt	-	-	-	-	-	Net Sales	6.5	11.3	10.9	12.9	13.0
Short Term Debt	-	-	-	-	-	Operating Profit	26.1	35.8	11.9	17.3	16.2
Total debt	-	-	-	-	-	PAT	27.5	49.2	19.2	18.1	18.4
CAPITAL EMPLOYED	14,746.9	17,418.4	20,331.8	23,876.8	28,198.5	Per Share (Rs.)					
Total fixed assets	3,085.4	3,337.6	3,452.3	3,470.6	3,393.2	Net Earnings (EPS) (FV 5)	17.2	25.6	30.5	36.0	42.7
Goodwill	-	-	-	-	-	Cash Earnings (CPS)	21.9	30.6	36.2	42.5	49.9
Investments	-	-	-	-	-	Dividend	3.5	4.0	6.5	7.0	7.5
Inventories	7,651.7	8,393.7	9,266.0	10,465.5	11,830.3	Book Value	114.7	135.5	158.2	185.8	219.4
Sundry debtors	893.5	663.5	891.0	1,006.3	1,137.5	Free Cash Flow	9.6	24.2	18.2	29.2	35.9
Cash & bank	5,911.9	8,403.1	9,869.5	12,676.1	16,262.7	Valuation Ratios					
Loans & advances	950.3	1,054.9	1,143.5	1,259.9	1,388.4	P/E(x)	95.5	64.0	53.7	45.5	38.4
Other current assets	1,866.4	1,789.6	1,811.6	1,992.8	2,192.1	P/B(x)	14.3	12.1	10.4	8.8	7.5
Sundry creditors	(5,835.3)	(6,160.2)	(6,336.3)	(7,156.6)	(8,089.8)	EV/EBIDTA(x)	58.2	42.4	37.6	31.6	26.7
O. Current Liabilities	(706.8)	(982.8)	(720.6)	(778.2)	(840.5)	Div. Yield(%)	0.2	0.2	0.4	0.4	0.5
Provisions	(125.1)	(179.4)	(143.6)	(158.0)	(173.8)	FCF Yield(%)	0.6	1.5	1.1	1.8	2.2
Working capital	10,606.6	12,982.3	15,781.0	19,307.8	23,706.8	Return Ratios (%)					
Deferred Tax Assets	1,054.8	1,098.5	1,098.5	1,098.5	1,098.5	ROE	15.0	18.9	19.3	19.4	19.4
Miscellaneous exp.	-	-	-	-	-	ROCE	19.7	23.7	22.6	22.8	22.5
CAPITAL DEPLOYED	14,746.9	17,418.4	20,331.8	23,876.8	28,198.5	ROCE (Excluding Cash & Bank)	32.9	45.8	44.0	48.5	53.2
(All NO.s Pre-IND AS 116)											



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Date	Price	Rating
11/15/2019	1729	Hold
8/6/2019	1368	Accumulate
5/28/2019	1346	Buy on Dips
2/13/2019	1190	Accumulate
11/6/2018	1014	Accumulate



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Contact	Email ID	Contact No.	Sector
Mr. Kunal Bhatia	kunal.bhatia@dalal-broacha.com	022 67141442	Auto, Auto Ancillary, FMCG
Ms.Charulata Gaidhani	charulata.gaidhani@dalal-broacha.com	022 67141446	Pharma /Healthcare
Ms.Abhilasha Satale	abhilasha.satale@dalal-broacha.com	022 67141435	Mid- cap senior analyst
Mr. Mayank Babla	mayank.babla@dalal-broacha.com	022 67141412	I.T/Media/Telecom
Mr. Avinash Tanawde	avinash.tanawde@dalal-broacha.com	022 67141449	BFSI
Mr. Suraj Nandu	suraj.nandu@dalal-broacha.com	022 67141438	Associate
Mr. Tanush Mehta	tanush.mehta@dalal-broacha.com	022 67141441	Associate
Ms. Nidhi Babaria	nidhi.babaria@dalal-broacha.com	022 67141450	Associate

Address: - 508, Maker Chambers V, 221 Nariman Point, Mumbai 400 021

Tel: 91-22- 2282 2992, 2287 6173, Fax: 91-22-2287 0092

E-mail: research@dalalbroachaindia.com, equity.research@dalal-broacha.com